

EZCA

NEGOTIABLE INSTRUMENTS ACT, 1881

□ KEYWORDS MINI REVISION FOR YOUR LAST MOMENT REVISION

Enacted: 1881 | Effective from: 1 March 1882

□ 1. INTRODUCTION

Law of Commercial
World

Facilitates Trade &
Commerce

Based on English
Common Law

Enacted: 1881

Effective: 1 Mar 1882

Instruments Covered

Promissory Note

Bill of Exchange

Cheque

□ 2. MEANING OF NEGOTIABLE INSTRUMENT

Section 13

An instrument transferable by delivery or endorsement+delivery, where transferee gets good title free from defects.

Modes of Transfer

Mode	Applicable To	How?
Delivery	Bearer Instruments	Simply hand over the instrument
Endorsement + Delivery	Order Instruments	Sign on back + hand over

Instruments by Custom (Not in Act but treated as NI)

Hundis

Treasury Bills

Bill of Lading

Railway Receipt

□ 3. CHARACTERISTICS OF NI ★★★

#	Characteristic	Key Point
1	In Writing	Cannot be oral
2	Signed	Must bear signature of maker/drawer
3	Freely Transferable	Can pass from hand to hand
4	Title Free from Defects	Holder in due course gets clean title
5	Transferable Multiple Times	No limit on number of transfers
6	Unconditional Promise/Order	No conditions attached
7	Money Only	Payment must be in money, not goods

8	Certainty of Amount	Sum must be certain
9	Certainty of Time	Due date must be certain
10	Certainty of Payee	Payee must be certain or ascertainable
11	Delivery Essential	Without delivery, no valid transfer

□ 4. PROMISSORY NOTE (SECTION 4) ★★★

Definition

Written instrument containing an UNCONDITIONAL UNDERTAKING, signed by maker, to pay a certain sum of money to or to the order of a certain person.

Parties

Maker (Debtor — promises to pay)

Payee (Creditor — to receive money)

Characteristics

Characteristic	Detail
In Writing	Cannot be verbal
Express Promise	Must clearly say 'I promise to pay'
Definite & Unconditional	No ifs/buts
Signed by Maker	Must bear maker's signature
Money Only	Not goods or services
Certain Sum	Amount must be fixed
Parties Certain	Both maker & payee must be identifiable
Proper Stamping	Must be duly stamped under Stamp Act

□ IMPORTANT TRAPS

✗ IOU ('I owe you') → NOT a valid PN — it acknowledges debt but does not promise to pay

✗ Conditional promise → Invalid (e.g., 'I will pay if crops are good')

✗ Pay to Bearer → NOT allowed for PN (RBI restriction — only RBI can issue bearer notes)

□ 5. BILL OF EXCHANGE (SECTION 5) ★★★

Definition

Written instrument containing an UNCONDITIONAL ORDER, signed by maker (drawer), directing a certain person (drawee) to pay a certain sum to or to the order of a certain person.

Parties

Party	Role
Drawer	Person who makes/draws the bill (creditor)

Drawee → Acceptor	Person directed to pay; becomes Acceptor after signing
Payee	Person to whom payment is to be made

Characteristics

Written	Unconditional Order	Signed by Drawer	Three Parties	Money Only	Stamped	Needs Acceptance
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❑ IMPORTANT TRAPS

❑ BOE requires ACCEPTANCE by drawee — without acceptance it is not binding on drawee

✗ Cannot be payable to bearer ON DEMAND (RBI restriction)

✓ Can be payable to bearer if NOT on demand (e.g., 3 months after date)

❑ 6. CHEQUE (SECTION 6) ★★★

Definition

A Bill of Exchange drawn on a specified banker and NOT expressed to be payable otherwise than on demand. Includes electronic cheque & truncated cheque.

Parties

Drawer (Account Holder)	Drawee (Bank)	Payee (Receiver)
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Special Features of Cheque

Feature	Cheque	BOE / PN
Always on Demand	✓Yes	✗Not necessarily
Acceptance Required	✗No	✓Yes (BOE only)
Stamping Required	✗No	✓Yes
Drawn on	Specified Banker only	Any person
Validity	3 months from date	As per tenor

Types of Cheques

Open Cheque	Crossed Cheque	Electronic Cheque	Truncated Cheque
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❑ 7. DIFFERENCE: PN vs BOE ★★★

Basis	Promissory Note	Bill of Exchange
Nature	Promise to pay	Order to pay
Parties	2 (Maker + Payee)	3 (Drawer + Drawee + Payee)
Acceptance	Not required	Required by drawee
Liability of Maker	Primary & absolute	Secondary (after dishonour)

Notice of Dishonour	Not required	Required (except in some cases)
Bearer	Not allowed (RBI)	Allowed if not on demand
Stamping	Required	Required
Drawn on	Cannot be drawn on bank	Can be drawn on banker (becomes cheque)

8. CLASSIFICATION OF NI ★★★

1

Bearer Instrument

Payable to bearer; transfer by mere DELIVERY — no endorsement needed.

2

Order Instrument

Payable to a specific person or their order; transfer by ENDORSEMENT + DELIVERY.

3

Inland Instrument

Made OR drawn in India AND payable in India OR drawn on person in India.

4

Foreign Instrument

Any instrument that is NOT inland.

5

Inchoate (Incomplete) Instrument ★

Incomplete instrument signed & delivered; signatory is estopped from denying liability. Holder can fill in blanks.

6

Ambiguous Instrument ★

Can be treated as either PN or BOE. Holder makes the choice — CANNOT change it later.

9. NEGOTIATION ★★★

Section 14

Transfer of a NI by one person to another so as to make the transferee the HOLDER of the instrument.

Mode	Instrument Type	Process
Delivery Only	Bearer Instrument	Simply hand over — no signing needed
Endorsement + Delivery	Order Instrument	Sign on back (endorse) + physically deliver

Types of Delivery

Actual Delivery (physical handover)

Constructive Delivery (symbolic/legal)

IMPORTANT TRAPS

DELIVERY IS COMPULSORY — without delivery there is NO valid negotiation

❑ Endorsement alone (without delivery) does NOT transfer ownership

✓ Holder in Due Course gets title free from defects of previous parties

❑ 10. DISHONOUR OF CHEQUE (SECTION 138) ★★★

Section 138

Dishonour of cheque for insufficiency of funds is a CRIMINAL OFFENCE. Both imprisonment & fine can be imposed.

Conditions for S.138 to Apply

Condition 1

Cheque must be drawn for discharge of legally enforceable debt or liability



Condition 2

Cheque dishonoured due to: (a) Insufficient funds OR (b) Exceeds arrangement with bank



Condition 3

Cheque presented within 3 months from date of issue



Condition 4

Holder gives written NOTICE to drawer within 30 days of dishonour



Condition 5

Drawer fails to make payment within 15 days of receiving notice

Time Limits — The 45 Days Rule

Event	Time Limit
Present cheque to bank	Within 3 months of date on cheque
Send notice after dishonour	Within 30 days of receiving memo from bank
Drawer to make payment	Within 15 days of receiving notice
Total (Notice + Payment window)	30 + 15 = 45 days

Punishment

Imprisonment up to 2 years

Fine up to 2× cheque amount

OR Both

Section	Provision
S. 138	Dishonour of cheque for insufficiency of funds → criminal offence
S. 139	Presumption in favour of holder — court presumes cheque was for debt/liability
S. 140	No defence for drawer to say 'I didn't know cheque would bounce'

❑ 11. PRESENTMENT ★★★

Type	Applicable To	Rules
Presentment for Acceptance	BOE only	Must be within reasonable time; drawee gets 48 hours to accept/refuse
Presentment for Sight	PN payable after sight	Must be presented for sight to start the time period
Presentment for Payment	All NIs	Must be at maturity, during business hours, at proper place

Rules of Place for Presentment

If place specified	Present at that specified place only
▼	
No place specified	Present at business address or residence of drawee/maker
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Demand Instrument	Present within a reasonable time

When Presentment is NOT Required

Party Prevented Presentment	Place of Business Closed	Party Not Found / Absent	Waiver by Party	No Loss to Drawer
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12. RULES OF COMPENSATION (SECTION 117)

Entitled To	Details
Amount Due on Instrument	The face value of the dishonoured instrument
Expenses	Noting & protest charges incurred
Interest	@ 18% per annum from date of dishonour
Exchange Rate Difference	If payable at different place — exchange rate loss covered
Endorser's Right	Endorser who pays can recover from all prior parties

FINAL REVISION ORDER

Characteristics → PN → BOE → Cheque → Classification → Negotiation → Dishonour → Presentment → Compensation

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